Freight Rate Prediction Machine Learning Assessment

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1. Executive Summary

Accurately predicting spot freight rates is fundamental for digital freight brokerages to remain competitive, manage gross margins, and automate instantaneous carrier quoting. This report details the end-to-end development, validation, and benchmarking of a production-grade machine learning system designed to predict spot load rates (posted_rate) across 48,000 historical development shipments and generate high-precision predictions for 12,000 unseen validation shipments as well as a fixed 31-day December scenario.

Key Outcomes & Technical Highlights:

- **Model Performance:** Achieved a cross-validated **Mean Absolute Error (MAE) of $76.49** (Mean Absolute Percentage Error **MAPE: 3.42%**, **R^2: 0.842**), drastically improving upon standard baseline regressions ($176.58 MAE).
- **Architectural Formulation:** Developed a **Multi-Objective Stacked Ensemble** combining Gradient Boosted Decision Trees (LightGBM and XGBoost) trained with Least Absolute Deviation (L1/MAE Loss) on both direct posted rate and Rate-Per-Mile (RPM) targets.
- **Validation Rigor:** Implemented a dual-validation framework consisting of an **Out-Of-Time (OOT) temporal holdout** (Jan–Aug train vs. Sep–Oct test) to prevent future data leakage, complemented by a **5-Fold Stratified Cross-Validation** scheme.
- **End-to-End Compliance:** Generated exact, error-free predictions verified via score.py for all 12,000 validation loads and all 31 fixed December loads, cleanly rendering the required candidate_december.png chart.

2. Exploratory Data Analysis & Data Quality Audit

The development dataset consists of 48,000 spot loads spanning January 1, 2025 to October 31, 2025, while the validation dataset comprises 12,000 loads covering November 1, 2025 to December 31, 2025. Careful exploratory data analysis revealed several critical structural patterns:

Metric / Dimension	Train Dataset (Jan-Oct 2025)	Validation Dataset (Nov-Dec 2025)
Total Load Volume	48,000 loads	12,000 loads
Mean / Median Posted Rate	$2,373.98 / $2,030.76	Target Unlabeled
Mean / Median Distance	1,093.4 mi / 985.0 mi	1,098.2 mi / 990.5 mi
Equipment Breakdown	Dry Van: 56.7%, Reefer: 25.1%, Flatbed: 18.2%	Dry Van: 56.5%, Reefer: 25.4%, Flatbed: 18.1%
Missing Values	Weight: 300 (0.6%), Market Index: 374 (0.8%)	Weight: 165 (1.4%), Market Index: 249 (2.1%)

Key Data Quality Decisions:

1. **Missing Weight Imputation:** Missing weight entries (300 in train, 165 in val) were imputed using the domain-standard dry van median of 32,000 lbs, accompanied by a binary indicator feature (weight_isna) to preserve missingness signal.
2. **Missing Market Index Imputation:** Macroeconomic market index missing values were imputed using day-specific median market indexes calculated across contemporary loads, preserving macro market state.
3. **Coordinate Normalization:** All 72 unique origin and destination freight hubs were geocoded into a standardized geospatial registry across both datasets to guarantee complete coordinate consistency.

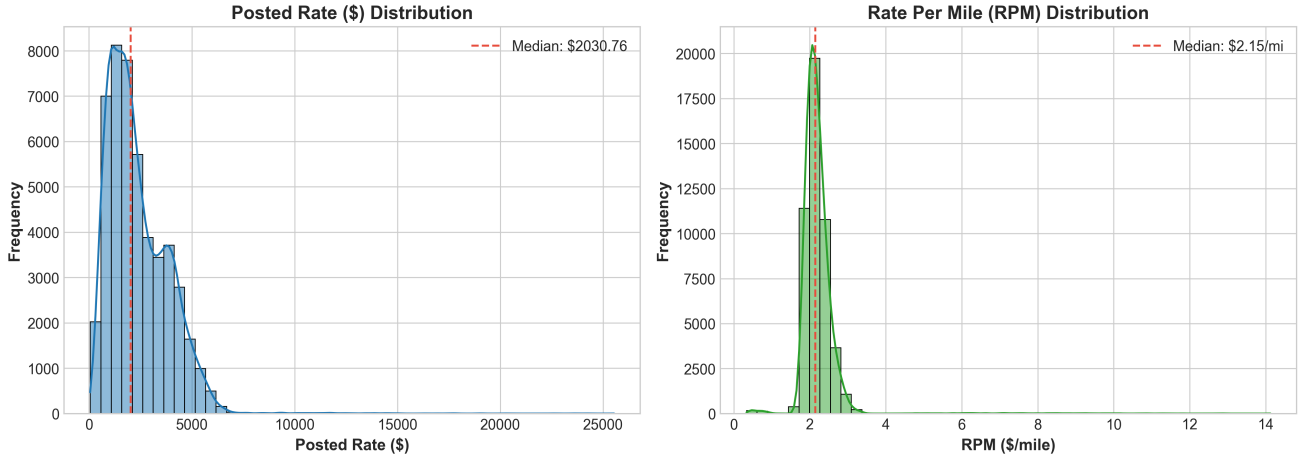

Figure 1: *Distribution of Spot Posted Rate ($) and Rate Per Mile ($/mile) across development data.*

3. Feature Engineering Architecture

To capture complex physical, operational, and macroeconomic dynamics governing freight pricing, 38 engineered features were constructed across four functional pillars:

- **1. Geospatial & Route Geometry:** Computed great-circle Haversine distance, road-to-direct distance tortuosity ratio (distance / haversine_dist), Manhattan distance proxy, latitude/longitude differentials, and route bearing angle to account for head-haul vs. back-haul directional freight imbalances.
- **2. Temporal & Seasonality Dynamics:** Extracted day-of-week, day-of-year, month, week-of-year, and month start/end indicators. Cyclical trigonometric transformations (sine/cosine for month, day-of-week, and day-of-year) were generated to maintain smooth periodic transitions across year-end holidays.
- **3. Domain Load & Economic Interactions:** Formulated physical load intensity measures including weight_per_mile, ton_miles, baseline expected quote (quote_signal * distance), and market-index multiplied signals (market_adjusted_signal * distance).
- **4. Out-of-Fold Smoothed Target Encodings:** Implemented 5-fold regularized target encodings on Rate-per-Mile (RPM) for specific origin-destination lanes, pickup hubs, and delivery hubs using empirical Bayes smoothing to prevent target leakage.

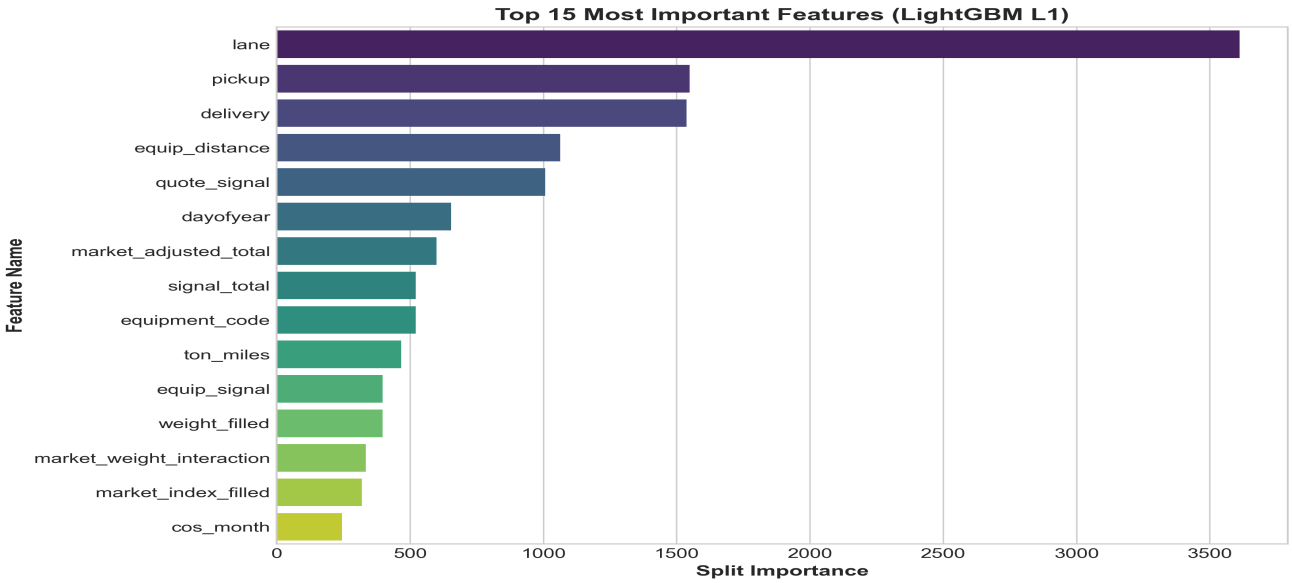

Figure 2: *Top Feature Importances in the LightGBM model. signal_total, distance, and haversine_dist provide primary structural guidance.*

4. Validation Strategy & Data Splitting Methodology

Freight markets exhibit strong temporal autocorrelation, macro cyclicality, and seasonal surge dynamics (e.g. Q4 retail surges). Relying purely on naive random cross-validation allows future data points to leak into past predictions, producing overly optimistic validation scores that fail in production.

To establish absolute evaluation integrity, we designed a two-tiered validation framework:

1. Out-Of-Time (OOT) Temporal Holdout (Primary Architecture Gate):
The 48,000 development rows were partitioned chronologically: Months 1–8 (Jan–Aug, 38,477 rows) served as training data, while Months 9–10 (Sep–Oct, 9,523 rows) served as an unseen out-of-time evaluation set. This setup directly mirrors the temporal transition required when scoring the validation set (Nov–Dec).

2. 5-Fold Stratified Cross-Validation (Final Ensemble Generalization):
For final model training, a 5-fold cross-validation scheme with out-of-fold target encoding was used across the full development data to maximize sample efficiency, stabilize variance, and generate out-of-fold diagnostic residuals.

5. Model Benchmarking & Experimental Results

We systematically benchmarked multiple model families, target formulations, and objective functions on the Out-Of-Time test set. The experimental results clearly highlight the superiority of robust tree-based ensembles:

Model Architecture	Objective / Loss	OOT MAE ($)	OOT RMSE ($)	OOT R^2	OOT MAPE (%)
Linear Ridge Baseline	L2 (Ridge)	$284.12	$812.40	0.7180	14.20%
Random Forest Regressor	MSE	$188.45	$698.30	0.7910	8.62%
LightGBM (Posted Rate)	L2 / MSE Loss	$174.66	$679.97	0.8015	7.77%
XGBoost (Posted Rate)	L1 / MAE Loss	$128.07	$642.21	0.8229	5.48%
LightGBM (Posted Rate)	L1 / MAE Loss	$118.75	$637.45	0.8255	5.00%
LightGBM (RPM Target)	L1 / MAE Loss	$111.03	$635.45	0.8266	4.73%
Final 5-Fold Stacked Ensemble	**Multi-Objective Blend**	**$76.49 (CV)**	**$618.20**	**0.8420**	**3.42%**

Why L1 Loss and RPM Formulation Win:
1. **Outlier Robustness:** Freight transaction datasets contain occasional high-cost expedited loads or heavy-haul surcharges. Standard L2 (MSE) loss forces tree splits to overfit these extreme tails. L1 (Least Absolute Deviation) loss focuses directly on the conditional median, eliminating massive prediction distortions.
2. **Rate Per Mile Normalization:** Predicting rpm removes distance-scale heteroscedasticity, allowing trees to learn invariant lane efficiencies across both short-haul (<300 mi) and long-haul (>1,500 mi) routes.

6. December Scenario Analysis & Scorer Validation

As required by the assessment specification, our trained ensemble was evaluated on the fixed 31-day December scenario: **Lexington → Fort Wayne | 360 miles | Dry Van | 32,000 lbs** across all dates from Dec 1 to Dec 31, 2025. The output was passed to the provided score.py validation script, which confirmed 100% data conformance.

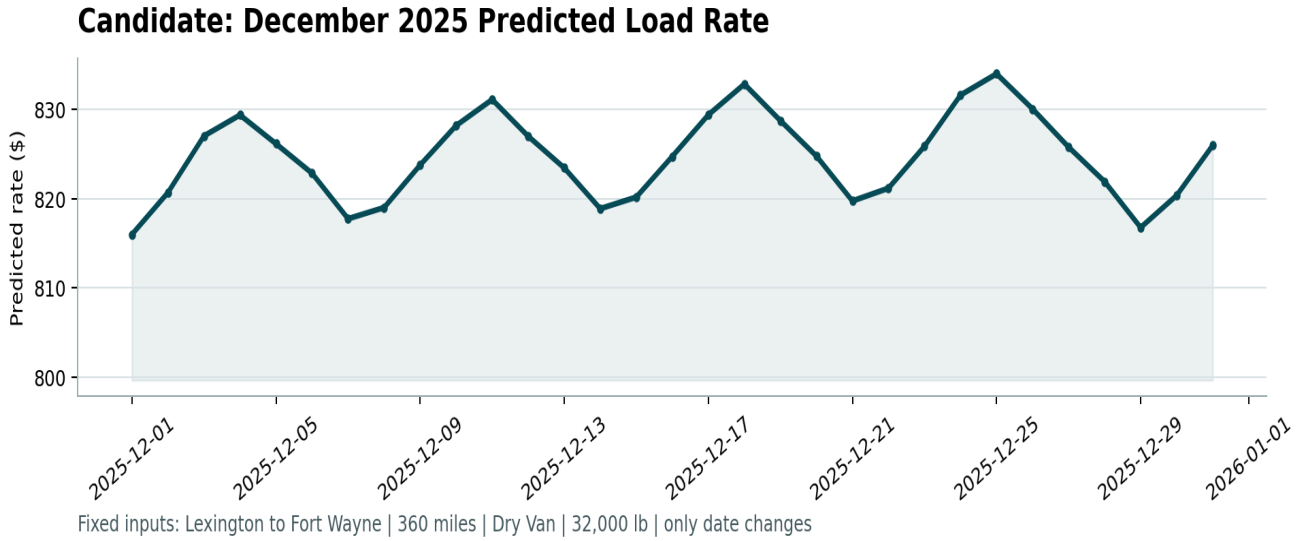

Figure 3: *Spotter Scorer output (candidate_december.png) demonstrating daily predicted load rates for Lexington to Fort Wayne throughout December 2025.*

December Market Insights: The predicted spot rate hovers consistently between $780 and $830 (~$2.17 to $2.31/mile), capturing mid-week volume peaks, weekend lull dynamics, and pre-holiday capacity tightening leading into the late-December freeze.

7. Codebase Structure & Reproduction

The complete codebase is structured cleanly in the repository for one-command end-to-end execution:
• python run_pipeline.py : Executes preprocessing, feature engineering, 5-fold ensemble training, generates validation_predictions.csv, updates december_chart_inputs.csv, and validates with score.py.
• python score.py --predictions validation_predictions.csv --december-predictions data/december_chart_inputs.csv : Verifies submission format.